

MG2005

International Business

Summer 2024 Examination · Paper 1 · University College Cork

Module	MG2005 — International Business
Session	Summer 2024
Paper structure (as printed)	Part A: answer any 5 short questions (10 marks each) · Part B: answer any 2 questions (25 marks each) · 6-page paper
Content actually supplied	Only Part A, Questions 1-2 (20 marks of the paper). Part A Q3 onward, all of Part B, and any case study were not present in the uploaded file.
Duration	1.5 hours

COVERAGE WARNING — THIS IS NOT A COMPLETE MARKING SCHEME

The uploaded source PDF is a 3-page excerpt of a 6-page paper (footer reads “Page 2 of 6”). Page 3 of the upload is a placeholder stating the paper’s multiple-choice questions were deliberately removed before it reached this build — consistent with MCQs being reused across sittings and withheld from general circulation. Only Questions 1 and 2 of Part A are answered below. Do not treat this as covering the full Summer 2024 paper: Part A Q3 onward, both Part B questions, and any accompanying case study are still needed before this session’s scheme is complete.

Marks covered in this document

20 of an unknown total

PART A · SHORT QUESTIONS · QUESTIONS AVAILABLE IN SOURCE DOCUMENT · 10 MARKS EACH**Question 1****10 marks****QUESTION AS SET**

1. Based on the work of Sadun et al (2017) which of the following statements is true:
1. In emerging markets, management scores tend to be normally distributed.
 2. MNCs everywhere tend to be managed less effectively than founder-owned firms.
 3. Firms in the emerging markets of India and China score better in terms of management practice than European firms.
 4. MNCs tend to be better managed than founder-owned firms because they face more competitive labour markets.

FULL MODEL ANSWER**Correct answer: D**

Sadun, Bloom, and Van Reenen's World Management Survey research finds a consistent global pattern: multinationals are typically among the **best-managed** firms in any country, while government-owned and founder/family-run firms — especially those passing control to an eldest child rather than an external CEO — are typically among the **worst-managed**. This directly supports (D) and directly contradicts (B), which states the opposite relationship.

(A) is false: the research's signature finding is that emerging-market countries such as Brazil, India, and China have a pronounced **long tail** of very poorly managed firms sitting alongside well-managed ones — a distribution that is right-skewed, not normal. (C) is also false: the same body of work finds emerging markets score *lower* on average management quality than developed markets, including Europe — not higher.

CHECKNOTE *The literature's headline explanation for the MNC/founder-owned gap centres on stronger product-market competition and the avoidance of family-succession-driven management, with worker skill levels cited as a secondary factor — “competitive labour markets” as worded in option (D) is a reasonable paraphrase of that skills/competition link, though the primary driver identified in the original research is product-market rather than labour-market competition specifically.*

CITED SOURCE

- Sadun, R., Bloom, N., & Van Reenen, J. (2017). Why Do We Undervalue Competent Management? *Harvard Business Review*, 95(5), 120-127.

Mark Allocation — Question 1

Tier	Marks	Descriptor
Full Credit	9–10	Correct letter (D) with justification that accurately states the MNC/founder-owned management gap AND explicitly refutes at least two of the other three options using the correct WMS findings (long-tail distribution; emerging markets scoring lower, not higher, than Europe).
Good	7–8	Correct letter with the core MNC-vs-founder-owned finding stated accurately, but without explicitly refuting the distractors.
Partial	4–6	Correct letter selected with only a vague or partially accurate justification, or an incorrect letter chosen with some genuine engagement with the Sadun et al. findings.
Minimal	0–3	Incorrect letter with no coherent engagement with the research.
Question 1		Total: 10 marks

Question 2**10 marks****QUESTION AS SET**

2. An economy can achieve *permanent* growth over the long term by ensuring that it...
1. Invests enough capital so that it replaces the existing unit of capital stock.
 2. Reduces its capital stock to take advantage of low-cost labour and population growth.
 3. Engages in international trade to allow it access new ways of doing things.
 4. Increases its capital stock by investing in new plant and machinery.
 5. Substitutes labour with machinery.

FULL MODEL ANSWER**Correct answer: C**

In standard neoclassical (Solow) growth logic, capital accumulation on its own — whether simply replacing depreciated capital (A), adding new plant and machinery (D), or substituting labour with machinery (E) — runs into diminishing returns: each of these moves the economy toward a new, higher **steady-state level** of output, producing a temporary burst of growth during the transition that fades once the new steady state is reached. None of them changes the economy's long-run growth *rate*.

Only continuous improvement in the underlying production technology — new, more productive ways of combining inputs — can shift the steady-state growth path permanently. International trade is a standard channel for exactly this: exposure to foreign competition, products, and processes diffuses new techniques and ideas into the domestic economy, providing an ongoing source of productivity growth rather than a one-off level effect. (B) is straightforwardly incorrect, as shrinking the capital stock reduces output.

CHECKNOTE *This answer applies the standard Solow growth-model result that only technological progress — not capital accumulation alone — generates a permanent increase in the growth rate, with trade treated as a channel for technology and knowledge diffusion. This is general, textbook growth theory rather than a claim sourced from the missing case material.*

Mark Allocation — Question 2

Tier	Marks	Descriptor
Full Credit	9–10	Correct letter (C) with justification explaining why capital-accumulation options (A, D, E) only produce a temporary/level effect via diminishing returns, and why trade-driven technology access produces a permanent growth-rate effect.
Good	7–8	Correct letter with the trade/technology link stated correctly, but the diminishing-returns reasoning for why the capital-only options fail is not clearly explained.
Partial	4–6	Correct letter chosen with only a vague growth-theory justification, or an incorrect option chosen with some relevant economic reasoning shown.
Minimal	0–3	Incorrect letter with no coherent growth-theory reasoning.
Question 2		Total: 10 marks